investors. For example, while Microsoft grew private money 20,000 percent, it grew public money 60,000 percent. Compare that to Facebook, which grew private money 80,000 percent, and public money under 1,000 percent. As Ben Evans put in his slides, “For Facebook to match Microsoft’s public market returns, it would need to be worth $45 trillion,” which is two and half times the GDP of the United States.[6]

THE OLD METHOD: THE COMPANY’S PERSPECTIVE

While it may seem like the average investor has been excluded somewhat over the last decade, they haven’t been the only ones. Most companies are also locked out of the funding model described above because securing venture capital is an extremely competitive process, and the path to the public market is even more rigorous. For first-time founders who want to approach venture capitalists for an investment, often they must know someone-who-knows-someone. Having such a connection allows for a warm introduction as opposed to being among the hundreds of cold calls that venture capitalists inevitably receive. To know someone-who-knows-someone requires already being in the know, which creates a catch-22.

Turning to the public markets from inception for funding is also rarely possible, as an IPO is a laborious and expensive process. An IPO requires management to file an S-1 with the Securities and Exchange Commission (SEC), go on a road show to make investors aware of their offering, pay expensive